

25STCV26974 25STCV26974

County: los-angeles

Division: Civil Law and Motion

Department: 511

Hearing date: 2026-07-21

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C511%2C07%2F21%2F2026

Source SHA-256: 13774c23f279ecdf6828c87e8992190f08b9b16c9444f95ec6a38d2c8b3db56a

Case Number: 25STCV26974 Hearing Date: July 21, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: July

21, 2026

CASE NAME: Mark

Kim, et al. v. Paul Baik, et al.

CASE NO.: 25STCV26974

DEMURRER

TO SECOND AMENDED COMPLAINT WITH MOTION TO STRIKE

MOVING PARTIES: Defendants Paul Baik and Sean Seunguk Youn;

Defendant Hwa Chong Kang

RESPONDING PARTIES: Plaintiffs Mark Kim, Euphemia Yue

Fay Lee, New Four Corners Mgmt, LLC, and JPG & MK Corp Management

REQUESTED RELIEF:

Baik & Youn Demurrer:

1. Demurrer

to the entire SAC for failing to sufficiently state facts constituting a cause

of action;

2. Demurrer

to the first, second, third, fourth, fifth, sixth, seventh, eighth, ninth, tenth, eleventh causes of action for failing to state sufficient facts constituting a cause of action and for uncertainty.

Kang Demurrer:

1. Demurrer

to the entire SAC for failing to state sufficient facts to constitute a cause of action.

Motion to Strike: portions of the SAC requesting punitive damages (Prayer ¶ 2).

TENTATIVE RULING:

1. Demurrers

to the SAC are SUSTAINED in full;

2. Motion

to strike is DENIED, without prejudice, as moot.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On September 15, 2025, Plaintiffs Mark Kim, Euphemia Yue Fay Lee, New Four Corners Mgmt, LLC, and JPG & MK Corp Management (Plaintiffs) filed a complaint against Defendants Paul Baik, PCB Bank, Hwa Chong Kang, Sean Seunguk Youn, Kyu Hun Kwak, Central Escrow LA, Inc., and Julia Kim (Defendants) with eleven causes of action for: (1) unlawful business practices in violation of Bus. & Prof. Code § 17200; (2) fraud; (3) breach of implied covenant of good faith and fair dealing; (4) intentional misrepresentation; (5) negligent misrepresentation; (6) conspiracy to defraud; (7) constructive fraud; (8) usury violation; (9) money had and received; (10) small business truth-in-lending law violation; and (11) breach of fiduciary duty.

According to the complaint, Plaintiffs claim they were targeted in a predatory loan sharkstyle lending scheme orchestrated

by multiple defendants, including PCB Bank, loan officer Paul Baik, private lenders, and Central Escrow LA with escrow agent Julia Kim. Plaintiffs allege that Defendants induced them into taking a series of high interest, fee heavy loans secured by their real properties, beginning with an approximately \$800,000 loan in 2022. They assert that Defendants misrepresented loan terms, concealed excessive fees, and structured loans so that balloon payments could not realistically be satisfied, forcing Plaintiffs into subsequent loans (L2 around \$3 million, and L3 for \$1 million) and “extensions” requiring tens of thousands of dollars in additional undisclosed fees. Plaintiffs contend that Defendants acted in concert, failed to disclose material terms, charged usurious interest, and used escrow to facilitate the scheme. They assert damages including loss of loan proceeds, excessive fees, risk of property loss, and financial harm from being trapped in an “unending cycle” of debt.

On October 23, 2025, Defendants Kyu Hun Kwak (Kwak), Sean Sunguk Youn (Youn) and Paul Baik (Baik) each filed general denials.

On December 31, 2025, Plaintiffs filed a first amended complaint (FAC). The FAC expands on previous allegations regarding the loan scheme and excludes Julia Kim from the first cause of action.

On January 29, 2026, Defendants Central Escrow LA, Inc. and Julia Kim (Moving Defendants) filed a demurrer to the FAC which the court SUSTAINED with leave to amend.

On February 13, 2026, Plaintiffs filed a request for dismissal as to Defendant PCB Bank only.

On May 8, 2026, Plaintiffs filed the operative second amended complaint (SAC).

On June 5, 2026, Defendants Baik and Youn filed the instant demurrer with motion to strike the SAC.

On June 8, 2026, Defendant Kang filed the instant demurrer to the SAC.

On June 23, 2026, Baik filed a notice of deceased defendant

Kwak.

On July 7, 2026, Central Escrow and Kim filed an answer to the SAC.

On July 8, 2026, Plaintiffs filed oppositions to the demurrers and motion to strike. On July 10, 2026, Baik and Youn filed replies. On July 14, 2026 Kang filed a reply.

LEGAL STANDARD:

Meet and Confer

Prior to filing a demurrer, the demurring party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc. §430.41, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc. §430.41(a)(2) & (3). The meet and confer requirement also applies to motions to strike. (CCP § 435.5.)

Here, the meet and confer requirements are not met. Still, insufficient meet and confer is not a reason, alone, to sustain or overrule a demurrer or to deny a motion to strike.

Demurrer –

Sufficiency of Facts

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, 147 Cal.App.4th at 747.)

2

When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94 (Frantz).)

Demurrer

– Uncertainty

CCP § 430.10(f) provides that a party may demur to a pleading because: “The pleading is uncertain. As used in this subdivision, “uncertain” includes ambiguous and unintelligible.”

However, “demurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (Morris v. JPMorgan Chase Bank, N.A. (2022) 78 Cal.App.5th 279, 292.) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Chen v. Berenjian (2019) 33 Cal.App.5th 811, 822.) “A demurrer for uncertainty should be overruled when the facts as to which the complaint is uncertain are presumptively within the defendant’s knowledge.” (Ibid.)

Motion to Strike

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (CCP § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id., § 436(b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id. § 437.) “When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.” (Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768.)

ANALYSIS:

Request for

Judicial Notice

The court DENIES Baik & Youn's request for judicial notice as superfluous to this ruling.

Demurrer

First Cause of
Action – Fraud

Baik & Youn contend this claim fails because: (1) the SAC does not allege any specific or actionable statements by them; (2) the SAC confusingly jumbles all Defendants together in the fraud claim and makes no distinction as to who did or said what; and (3) any representations that are alleged are non-actionable opinions or puffery instead of fact. They also contend some of this claim is time-barred.

Kang contends this claim fails because the allegations are general and conclusory without articulating who said what. Additionally, Kang contends there are no allegations she ever spoke with Plaintiffs, met with Plaintiffs, sent Plaintiffs anything in writing, made any oral representations, or directed any communication to Plaintiffs of any kind before any loan was made.

Plaintiff concedes that some of the claims are time-barred and request leave to amend. They also argue, among substantial block quotes from the SAC, that the claims are sufficiently plead and characterization of puffery is an attempt to justify highway robbery.

Baik & Youn reply the concession that the claim is time-barred destroys this claim.

Kang replies that block quoting from the SAC is not an opposition and the claim otherwise relies on prediction of future events.

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.)

"In California, fraud must be pled specifically; general and conclusory allegations do not suffice...this particularity requirements necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tenders." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645; Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469; Perlas v. GMAC Mort., LLC (2010) 187 Cal.App.4th 429, 434 [requiring plaintiffs who claim fraud against a corporation to allege the names of the persons who made the misrepresentations, their authority to speak for the corporation, to whom they spoke, what they said or wrote, and when it was said or written.]) Fraud allegations need not be liberally construed, general pleading of the legal conclusion of fraud is insufficient, and every element of the cause of action for fraud must be alleged fully, factually and specifically. (Wilhelm v. Pray, Price, Williams & Russell (1986) 186 Cal. App. 3d 1324, 1331.)

Based on Plaintiffs' concession that the fraud claims are time-barred, the court SUSTAINS the demurrers to the first cause of action.

Second Cause of Action – Breach of Implied Covenant of Good Faith and Fair Dealing

Baik & Youn contend this claim fails because: (1) Baik is not a party to any agreement so the claim fails as to him; (2) as to Youn, there is no tort recovery in ordinary commercial lending relationships; (3) all the allegations pertain to statements made before the loan agreements were executed; and (4) the claim is confusing since it groups three loans together making it impossible to determine who did what with respect to which contract.

Kang contends this claim fails because it lacks a well-plead contract and otherwise did not plead interference allegations coherently.

Plaintiffs argue that a principal is liable for the acts of his agent and that a mortgage loan broker acts in a fiduciary capacity.

Baik & Youn reiterate their arguments on reply.

Kang replies that Plaintiffs conceded her arguments by asking to amend to add the loan documents.

Every contract contains an implied covenant of good faith and fair dealing that neither party will do anything to interfere with the other party's right to receive the benefits of the agreement. (Howard v. American Nat'l Fire Ins. Co. (2010) 187 Cal.App.4th 498, 528.)

The elements of a claim for breach of implied covenant of good faith and fair dealing are: (1) the existence of a contractual relationship; (2) an implied duty; (3) breach; and (4) causation of damages. (See, e.g., Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49; Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1395 ["allegations which assert such a claim must show that the conduct of the defendant...demonstrates a failure or refusal to discharge contractual responsibilities, prompted ... by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement. Just what conduct will meet this criteria must be determined on a case by case basis...."].) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (Careau, supra, 222 Cal.App.3d at p. 1395.) Additionally, a plaintiff must allege a "special relationship" between the parties that warrants imposing tort damages for, what is essentially, breach of contract. (Id. at p. 1398-1400.)

In the absence of a contract, this claim fails.

As such, the court SUSTAINS the demurrers to the second cause of action.

Third Cause of
Action – Intentional Misrepresentation

These are the same arguments as for the first cause of action.

For the same reason as the first cause of action, the

court SUSTAINS the demurrers to the third cause of action.

Fourth Cause of

Action – Negligent Misrepresentation

These are the same arguments as for the first cause of action.

For the same reason as the first cause of action, the court SUSTAINS the demurrers to the third cause of action.

Fifth Cause of

Action – Conspiracy to Defraud

Baik & Youn contend this claim fails because the underlying fraud claims fail and otherwise lack facts showing a relationship with any other defendant or how they conspired or agreed to conspire.

Kang contends this claim fails because the underlying fraud claims fail and is otherwise insufficiently plead.

Plaintiffs did not address this in their opposition.

A claim for conspiracy is not a standalone cause of action.

(Applied Equipment Corp. v. Litton Saudi

Arabia Ltd. (1994) 7 Cal.4th 503, 511.) “It must be activated by the commission of an actual tort.” (Ibid.)

Here, this claim depends on the insufficient fraud claims.

Accordingly, the court SUSTAINS the demurrers to the fifth cause of action.

Sixth Cause of

Action – Constructive Fraud

Baik & Youn contend this claim fails because there are no allegations they had a fiduciary or confidential relationship with Plaintiffs.

Kang contends this claim fails because an arm's-length lender-borrower transaction, without more, does not create a fiduciary relationship.

Plaintiffs did not address this in their opposition.

As a fraud claim, this claim is also subject to a three year statute of limitations. (CCP § 338(d).)

Thus, for the same reasons articulated in the first cause of action, the court SUSTAINS the demurrers to the sixth cause of action.

Seventh Cause of Action – Usury Violation

Baik & Youn contend this claim fails because Baik is not described anywhere as a lender of money, and, if Baik & Youn were brokers, then they are exempt from usury liability by working within the scope of their agency for a bank. They also contend this claim is time-barred.

Kang contends this claim fails because she is not tied to any specific loan or any specific rate of interest and the SAC pins the wrongful conduct on a dismissed defendant (PCB Bank).

Plaintiffs concede that this claim is time-barred and request leave to amend. Plaintiffs also argue that the loans were funded by Defendants, not PCB.

Baik & Youn reiterate their arguments on reply.

Kang replies that Plaintiffs concede her point and requested leave to amend.

In light of the concessions by Plaintiffs, the court SUSTAINS the demurrers to the seventh cause of action.

Eighth Cause of Action – Money Had and Received

Baik & Youn contend this claim fails because the claims are uncertain, it is unclear what money either of them received from Plaintiffs, Plaintiff's did receive funds from the loans as alleged in the SAC, and there is no certain sum of money alleged.

Kang contends this claim fails because Plaintiffs did not allege a certain sum Kang received, when she received it, or any factual basis that the money was intended to benefit Plaintiffs.

Plaintiffs admit they inadvertently included this claim while previously agreeing to withdraw it.

Accordingly, the court SUSTAINS the demurrers to the eighth cause of action without leave to amend.

Ninth Cause of
Action – Small Business Truth-In-Lending Law (Cal. Fin. Code § 22800, et seq.)

Baik & Youn contend this claim fails because the loans are secured by real property – an exemption under the statute – and there is no private right of action under the statute.

Kang contends this claim fails because she is not a provider under the statute.

Plaintiffs will withdraw this claim.

Accordingly, the court SUSTAINS the demurrers to the ninth cause of action without leave to amend.[1]

Tenth Cause of
Action – Breach of Fiduciary Duty

Baik & Youn contend this claim fails because there is no alleged fiduciary duty as a commercial lender, or the allegations are contradictory to their roles.

Kang contends this claim fails because there is no alleged fiduciary duty.

Plaintiffs arguments here are the same as for the second cause of action.

Baik & Youn reply that as loan officers, they owe no fiduciary duty to a borrower in an arms-length loan transaction.

Kang's reply raises the same points as Baik & Youn.

The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach." (O'Neal v. Stanislaus County Employees' Retirement Assn. (2017) 8 Cal.App.5th 1184, 1215.) "A fiduciary relationship is any relation existing between parties to a transaction wherein one of the parties is duty bound to act with the utmost good faith for the benefit of the other party." (Wolf v. Superior Court (2003) 107 Cal.App.4th 25, 29 (Wolf).) A person must "knowingly undertake to act on behalf and for the benefit of another" or "must enter into a relationship which imposes that undertaking as a matter of law." (City of Hope National Medical Center v. Genentech (2008) 43 Cal.4th 375, 386 (City of Hope)) [finding no indication that the defendant entered into the contract "with the view of acting primarily for the benefit" of the plaintiff.] "Traditional examples of fiduciary relationships in the commercial context include trustee/beneficiary, directors and majority shareholders of a corporation, business partners, joint adventurers, and agent/principal." (Wolf, supra, at p. 30.)

At issue is whether there is a fiduciary relationship alleged between Plaintiffs Baik, Youn, and Kang.

First, Baik is alleged to be a loan officer of PCB (a bank). (SAC ¶ 30.) There are no allegations that he exceeded this role as PCB's loan officer. (See *Rufini v. CitiMortgage, Inc.* (2014) 227 Cal.App.4th 229, 312 ["a financial institution owes no duty of care to a borrower when the institution's involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money."]) Therefore, the SAC insufficiently alleges a fiduciary duty owed by Baik.

Next, Youn and Kang are alleged to be lenders. (SAC ¶ 51.) The loans were both residential and commercial. (SAC ¶ 49.) As to Youn and Kang, a lender does not owe a fiduciary duty to a borrower. (*Nymark v. Heart Fed. Savings & Loan Assn.* (1991) 231 Cal.App.3d 1089, 1096.) This claim therefore fails as to them.

Accordingly, the court SUSTAINS the demurrers to the tenth cause of action.

Eleventh Cause of

Action – Violation of Civ. Code § 2943, et seq.

Baik & Youn contend this claim fails because it is uncertain by failing to identify which Defendants are part of this claim, a prospective lender is not an entitled person under the statute, and the allegations exceed the scope of leave to amend.

Kang contends this claim fails because she is not a beneficiary of any specific deed of trust on any specific Plaintiff property, does not allege a proper written demand she received, does not allege willful failure to deliver, and the damages allegation is conclusory.

Plaintiffs argue that they sufficiently alleged this claim.

Baik & Youn reply that this claim exceeded the scope of leave to amend.

Kang replies that the statutory elements of this claim are still missing.

Here, this claim is defective because it failed to identify the parties it is directed against. (Cal. Rules of Court, rule 2.112(4).)

Accordingly, the court SUSTAINS the demurrers to the eleventh cause of action.

Motion to Strike

Motion to strike is DENIED, without prejudice, as moot.

Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment.¿ (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable

possibility that the defect can be cured by amendment”]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].)¿ The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)¿

Here, Plaintiffs again requested leave to amend. The court will entertain oral argument to allow Plaintiffs to offer proof as to how they could amend to address these defects.

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Demurrers
to the SAC are SUSTAINED in full;
2. Motion
to strike is DENIED, without prejudice, as moot.

Defendant Kang is to give notice.

IT IS SO ORDERED.

Dated: July 21, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court

[1]
Plaintiffs are still free to file a motion for leave to amend in the future.